



Interest Rate Spillovers to the Euro Area AAA Curve

5-Country VAR: US, EU, CA, BR, UK
Nelson-Siegel Level, Slope, Curvature

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Methodology: 5-Country VAR on Nelson-Siegel Factors

We decompose five government yield curves (US, EU, CA, BR, UK) into Level, Slope, and Curvature via Nelson-Siegel ($\lambda = 0.10$). A 15-variable VAR(1) is estimated on weekly data (2005–2026, $N = 1112$ obs).

Cholesky ordering: US $\rightarrow$ CA $\rightarrow$ BR $\rightarrow$ UK $\rightarrow$ EU

Rationale: EU is placed last as the “receiver” of interest. US is most exogenous (global reserve currency).

Granger Causality Tests ($\alpha = 5\%$)

Source	EU Factor	F-stat	p-value	Sig.?
US	Level	1.77	0.151	Not sig.
US	Slope	0.93	0.423	Not sig.
US	Curvature	1.73	0.158	Not sig.
CA	Level	2.46	0.061	Not sig.
CA	Slope	0.61	0.608	Not sig.
CA	Curvature	3.88	0.009	Sig.
BR	Level	1.36	0.254	Not sig.
BR	Slope	0.92	0.432	Not sig.
BR	Curvature	0.61	0.606	Not sig.
UK	Level	0.52	0.667	Not sig.
UK	Slope	0.46	0.708	Not sig.
UK	Curvature	0.46	0.707	Not sig.

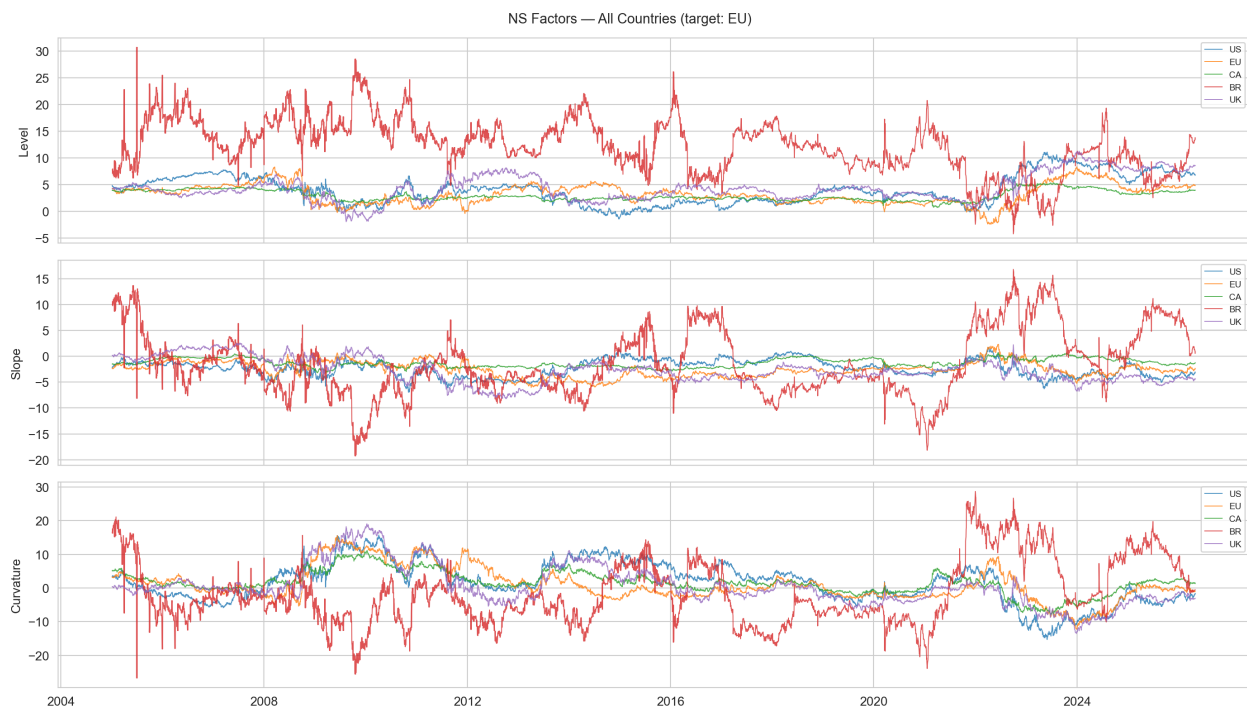


Figure 1: Nelson-Siegel factors for all 5 countries (2005–2026). EU highlighted as the target curve.

Shock Propagation to Euro Area

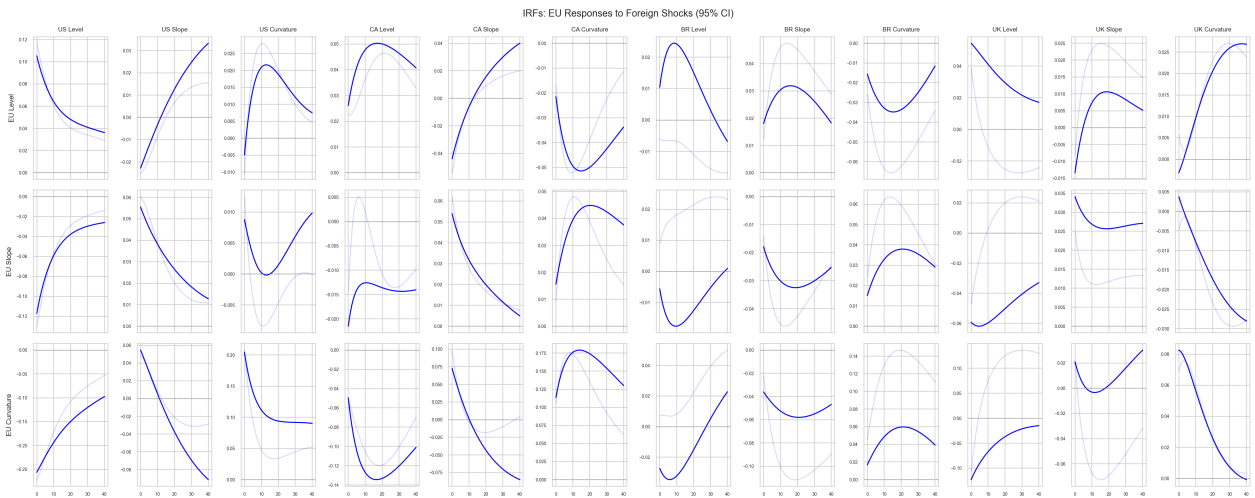


Figure 2: Orthogonalised IRFs: EU factor responses to foreign shocks over 40 weeks. Blue shading = 95% bootstrap CI.

FEVD at 52-Week Horizon (% of variance)

	US	EU	CA	BR	UK
EU Level	11.7	64.8	14.4	4.6	4.6
EU Slope	9.7	68.2	6.6	5.5	10.0
EU Curvature	17.9	59.6	18.1	2.4	2.0

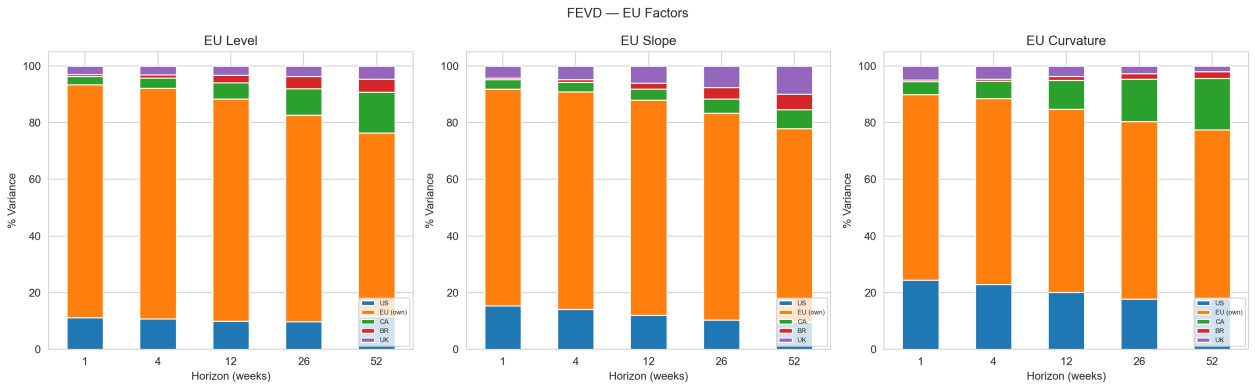


Figure 3: FEVD: share of EU factor forecast error variance by source country at horizons 1–52 weeks.

Euro Area: Market Context (May 2026)

Macro & Fiscal Backdrop

- **Inflation:** Headline HICP at 2.4% (Apr 2026). Core remains sticky at 2.7%.
- **Growth:** Euro area GDP grew 0.3% q/q in Q1 2026. Germany flat, periphery outperforming.
- **ECB:** Held deposit rate at 2.50%. Forward guidance cautious on cuts given energy uncertainty.
- **Issuance:** Joint EU debt issuance (NextGenEU) continues. National programmes vary widely.
- **Fragmentation:** BTP-Bund spread stable at ~130bp; no TPI activation concerns.

Key Drivers Ahead

1. **High domestic determination:** EU curve is the most self-driven (65% own-variance for Level). ECB policy is the primary driver.
2. **US and CA spillovers:** Combined ~26% of Level variance. Global risk-free rate channel.
3. **Defence spending:** EU joint debt for defence could increase supply pressure.
4. **ECB rate path:** Next decision 5 June 2026.

Data: US: FRED (constant-maturity Treasury rates), EU: ECB Statistical Data Warehouse (AAA-rated), CA: Bank of Canada Valet API (benchmark bonds), BR: IPEA/ANBIMA (DI pre-fixed yield curve), UK: Bank of England IADB (nominal spot curve). Model: VAR(1) on weekly NS factors, sample 2005–2026 (1112 obs). This document is for informational purposes only and does not constitute investment advice.